

MCQS

ECO402 midterm preparation file

ZB

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

In the name of God , Most
Gracious, Most merciful



ECO402

MCQS

1. What is the primary objective of macroeconomics? a) Maximizing profits

b) Studying the behavior of individual markets

c) Analyzing the overall economic performance

d) Maximizing consumer utility

Answer: c) Analyzing the overall economic performance

2. Which of the following is considered a macroeconomic indicator? a) Individual income

b) Price elasticity of demand

c) GDP growth rate

d) Supply curve

Answer: c) GDP growth rate

3. Which of the following is not a component of GDP? a) Consumption

b) Investment

c) Government spending

d) Profits of firms

Answer: d) Profits of firms

4. The term 'inflation' refers to: a) A decrease in the price level

b) An increase in the price level

c) An increase in output

d) A decrease in demand

Answer: b) An increase in the price level

5. Which of the following is a cause of inflation?
- a) Increase in money supply
 - b) Decrease in demand
 - c) Increase in unemployment
 - d) Decrease in wages

Answer: a) Increase in money supply

6. The labor force participation rate is calculated as:
- a) $(\text{Employed} / \text{Working-age population}) \times 100$
 - b) $(\text{Employed} + \text{Unemployed}) / \text{Total population} \times 100$
 - c) $(\text{Labor force} / \text{Working-age population}) \times 100$
 - d) $(\text{Employed} / \text{Total population}) \times 100$

Answer: c) $(\text{Labor force} / \text{Working-age population}) \times 100$

7. What does the unemployment rate measure?
- a) The number of people not in the labor force
 - b) The number of people without jobs
 - c) The number of people actively seeking employment
 - d) The percentage of people in poverty

Answer: c) The number of people actively seeking employment

8. Which of the following is an example of fiscal policy?
- a) Changes in interest rates
 - b) Tax cuts and government spending
 - c) Changes in the money supply
 - d) Wage controls

Answer: b) Tax cuts and government spending

9. Monetary policy is typically conducted by: a) The President

b) The Central Bank

c) Congress

d) Private banks

Answer: b) The Central Bank

10. The business cycle refers to: a) Fluctuations in stock prices

b) The periodic growth and decline in real GDP

c) Changes in government spending

d) Variations in inflation rates

Answer: b) The periodic growth and decline in real GDP

11. Which of the following is a leading economic indicator? a) Unemployment rate

b) Consumer Price Index (CPI)

c) Stock market performance

d) GDP

Answer: c) Stock market performance

12. Which of the following is most likely to increase aggregate demand? a) A decrease in consumer confidence

b) An increase in government spending

c) A reduction in income taxes

d) Both b and c

Answer: d) Both b and c

13. What is the effect of a decrease in interest rates on investment? a) Decreases investment
b) Increases investment
c) Has no effect on investment
d) Investment increases initially and then decreases

Answer: b) Increases investment

14. Which of the following is NOT a function of money? a) Store of value
b) Unit of account
c) Medium of exchange
d) Factor of production

Answer: d) Factor of production

15. What does the Philips Curve represent? a) The relationship between inflation and unemployment
b) The relationship between price levels and real GDP
c) The relationship between interest rates and investment
d) The relationship between money supply and GDP

Answer: a) The relationship between inflation and unemployment

16. Which of the following is considered an automatic stabilizer in an economy? a) Tax cuts
b) Unemployment insurance
c) Interest rate adjustments
d) Increased government spending

Answer: b) Unemployment insurance

17. In an open economy, net exports are equal to: a) Exports minus imports

b) Imports minus exports

c) Government spending minus taxes

d) Investment minus savings

Answer: a) Exports minus imports

18. What is the main purpose of a central bank? a) To regulate the stock market

b) To manage the money supply and control inflation

c) To control government spending

d) To set wages in the economy

Answer: b) To manage the money supply and control inflation

19. Which of the following can cause an increase in aggregate supply? a) A rise in input prices

b) Technological advancements

c) An increase in government regulations

d) A decrease in labor productivity

Answer: b) Technological advancements

20. The marginal propensity to consume (MPC) is: a) The percentage of income spent on consumption

b) The amount of money saved from income

c) The change in consumption divided by the change in income

d) The change in investment divided by the change in income

Answer: c) The change in consumption divided by the change in income

21. Which of the following is an example of a supply-side policy? a) Increasing taxes on the wealthy
b) Lowering interest rates
c) Deregulation of industries
d) Increasing government spending

Answer: c) Deregulation of industries

22. The quantity theory of money suggests that: a) An increase in the money supply will lead to an increase in output
b) An increase in the money supply will lead to an increase in prices
c) Interest rates have no effect on inflation
d) Output is determined by the money supply

Answer: b) An increase in the money supply will lead to an increase in prices

23. Which of the following is true in the short run for an economy experiencing a recession? a) The government should increase taxes
b) Interest rates should be raised
c) The central bank should reduce interest rates
d) Government spending should be reduced

Answer: c) The central bank should reduce interest rates

24. Which of the following is likely to occur during a demand-pull inflation? a) Decrease in aggregate demand
b) An increase in consumer demand outpaces the economy's ability to produce
c) A decrease in government spending
d) A fall in the price level

Answer: b) An increase in consumer demand outpaces the economy's ability to produce

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25. If the central bank lowers the reserve requirement, this will: a) Decrease the money supply

b) Increase the money supply

c) Lower interest rates

d) Have no effect on the economy

Answer: b) Increase the money supply

26. The natural rate of unemployment refers to: a) Unemployment caused by cyclical factors

b) The level of unemployment that exists when the economy is at full potential

c) Unemployment caused by technological advancements

d) Unemployment caused by inflationary pressures

Answer: b) The level of unemployment that exists when the economy is at full potential

27. Which of the following is a characteristic of a recession? a) Rising stock prices

b) High levels of consumer confidence

c) A decrease in GDP for two consecutive quarters

d) Increased consumer spending

Answer: c) A decrease in GDP for two consecutive quarters

28. The primary cause of structural unemployment is: a) Economic downturns

b) Mismatches between workers' skills and job requirements

c) Seasonal changes in demand

d) Temporary layoffs during peak seasons

Answer: b) Mismatches between workers' skills and job requirements

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29. Which of the following would most likely occur during a period of high inflation? a) An increase in purchasing power

b) A decrease in the cost of living

c) A decrease in the real value of money

d) A rise in interest rates

Answer: c) A decrease in the real value of money

30. If the central bank wants to combat inflation, it will most likely: a) Lower the reserve requirement

b) Decrease government spending

c) Increase interest rates

d) Increase the money supply

Answer: c) Increase interest rates

31. Which of the following is an example of a market failure? a) Perfect competition

b) Externalities

c) Equal income distribution

d) Stable prices

Answer: 32. What is the primary goal of expansionary fiscal policy? a) To reduce inflation

b) To decrease government debt

c) To increase aggregate demand

d) To reduce the money supply

Answer: c) To increase aggregate demand: b) Externalities

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33. What does the term "crowding out" refer to? a) The government reduces its spending to make room for private investment
b) Private investment is reduced due to higher government spending
c) Private consumption increases due to government transfers
d) The reduction in aggregate supply due to inflation

Answer: b) Private investment is reduced due to higher government spending

34. Which of the following is NOT considered an externality? a) Pollution
b) Education
c) Public health
d) Traffic congestion

Answer: b) Education

35. The Laffer Curve illustrates the relationship between: a) Interest rates and investment
b) Tax rates and tax revenue
c) Inflation and unemployment
d) Money supply and GDP

Answer: b) Tax rates and tax revenue

36. Which of the following would lead to a leftward shift in the aggregate supply curve? a) A technological improvement
b) An increase in the price of raw materials
c) A decrease in government regulation
d) An increase in labor productivity

Answer: b) An increase in the price of raw materials

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37. The velocity of money refers to:
- a) The rate at which the government changes tax policies
 - b) The rate at which money circulates in the economy
 - c) The rate at which inflation increases
 - d) The speed of financial transactions

Answer: b) The rate at which money circulates in the economy

38. Which of the following policies is most likely to reduce a trade deficit?
- a) Decrease in tariffs
 - b) Currency depreciation
 - c) Increase in consumer spending
 - d) Increase in taxes on imports

Answer: b) Currency depreciation

39. What is the main objective of monetary policy?
- a) To reduce government debt
 - b) To regulate the supply of money and control inflation
 - c) To increase government spending
 - d) To ensure full employment

Answer: b) To regulate the supply of money and control inflation

40. Which of the following is most likely to increase the money supply?
- a) An increase in reserve requirements
 - b) An open market sale of bonds by the central bank
 - c) A decrease in the discount rate
 - d) A rise in interest rates

Answer: c) A decrease in the discount rate

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41. The 'liquidity trap' occurs when: a) Interest rates are too high to stimulate investment

b) People prefer to hold cash instead of investing due to very low interest rates

c) The central bank is unable to control inflation

d) Money supply exceeds demand for goods and services

Answer: b) People prefer to hold cash instead of investing due to very low interest rates

42. Which of the following is an example of a demand-side policy? a) Deregulation of industries

b) Tax cuts to stimulate consumption

c) Investment in public infrastructure

d) Supply-side tax incentives

Answer: b) Tax cuts to stimulate consumption

43. What does the term "stagflation" refer to? a) A rise in both inflation and unemployment

b) A decline in economic activity with rising wages

c) A decrease in both inflation and unemployment

d) An increase in consumer spending despite inflation

Answer: a) A rise in both inflation and unemployment

44. A country's balance of payments records: a) Only its imports and exports

b) Its trade balance and capital flows

c) The prices of all imported goods

d) The difference between government spending and taxation

Answer: b) Its trade balance and capital flows

45. What is the term used for the total value of all goods and services produced in an economy in a given period, adjusted for inflation? a) Nominal GDP

b) Real GDP

c) Gross National Product

d) Net exports

Answer: b) Real GDP

46. Which of the following is an example of a negative externality? a) Education subsidies

b) Pollution from a factory

c) A public park

d) The government providing healthcare

Answer: b) Pollution from a factory

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Passing criteria of this course

Letter Grade	Grade Points	Equivalent Percentage
A+	4.00	90-100
A	4.00	85-89
A-	3.66 - 3.99	80-84
B+	3.33 - 3.65	75-79
B	3.00 - 3.32	71-74
B-	2.66 - 2.99	68-70
C	2.00 - 2.65	61-67
D	1.00 - 1.99	50-60
F	0.00	00-49

Passing Criteria for a Course:

The passing criteria is defined in such a way that it ensures the student shall be consistent in his studies throughout the semester.

Therefore, for passing a course/subject, student shall fulfill the following:

- Secure minimum **20%** score in Formative Assessments/Mid terms
- Secure minimum **20%** score in Final Term Examinations.
- Secure at least **40%** marks in aggregate while fulfilling the above requirements

Course Selection and Credit Hours

Q: How do I select courses when the course selection is open?

A: Follow these steps:

- 1. Check the credit hours allowed by your university (e.g., 21, 18, or 15 credit hours).**
- 2. Each subject typically has 3 credit hours.**
- 3. Divide the total allowed credit hours by 3 to determine how many subjects you can select.**

Examples:

21 credit hours = 7 subjects

15 credit hours = 5 subjects

Remember, the university may allow different credit hours for each student, so check your specific allowance.

By following these steps, you can make informed decisions during course selection and manage your credit hours effectively.

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Advice

Hmaesha relax ho ke parha kryn panic mat hua kryn apky parents ky bohat khawab hoty hn wo pura krny ki puri koshish kea kryn kbi b ksi pe depend na kea kryn apko bs ak insan success kr saqta ha or wo insan ap khud hn apky elawa koi nahe ap bs koshish kryn Allah pak pe strong yakeen rakha kryn or mehnat krke sb Allah ke hawaly kr dea kryn everything is possible be brave be strong stay blessed

Hum insan hamesha moat se darty or bhagty hn or moat se bachny ki koshish krty hn jabke moat ny ana hi ana ha hum

moat se nahe bach saqty humy jahanam se bachny ki koshish
krni chaheay hum jahanam se bach saqty hn
Insan ko 3 chezo se dar lagta ha Moat Risk/Dolat Ezat Shohrat
Fame

Moat

**Humy pta hona chaheay Moat tab ani ha jab Allah
chahy us se pehly puri dunya bi ak taraf ho ke apko
marna chahy to apka kuch nahe beggar saqti**

Risk/Dolat

**Risk Dolat sb Allah pak ke hath m ha puri dunya ak
taraf b ho jay na apsy apka risk cheen saqti ha na de
saqti ha Ye sirf ALLAH pak ky hath m ha**

Izat Zilat shohrat Fame

**Izat Zilat Sirf Allah de saqty hn puri dunya mel ke b
apko zra brabr b damage nahe kr saqti Agr ALLAH**

**Apko izat dena chahay to puri dunya ak taraf ho ke
b apko 1% b nuksan nahe pohancha saqti**

Phr Dar ks bat ka ??????????????????

**Be brave be strong Just put your trust To ALLAH
Hamesha Confident or himat se raho kbi ksi k samne
mat jhuko puri dunya mel k b apka kuch b nahe
beggar saqti**

ZB
MY REQUEST FROM ALL OF YOU

ZB Request from All of you My family

Mjy ap sbki help or support ki zarort ha or wo ye k hum sb Mel kr Allah ka Quran ki Urdu translation logo tak pohanchy or Quran ko samjna asaaan kryn dosro k leay sb tak Allah ka Quran pohanchy it's my campaign hum log 70+ age k ho jaty hn phr b hmy namaz tak ki translation nahe pta hoti k hum Allah pak se

Kya Dua kr rhy hn so hum youngster's ko Mel kr puri takat or energy ke sath Allah ka Quran spread krna ha

Hum puri Koshish kr rhy hn k hum sb Mel k Quran ki translation or most important topics ko maximum share kry with translation hmara maksad Quran ko spread krna ha be a part of us

m apni pocket se ye sb kr rha ho Allah ka Quran spread krny k leay apne or mene sbny Marna ha ak din to q na Allah k leay Kuch kryn apni energies apni power ko bajay negative use krny k Allah k leay invest kryn khud ko be a part of us

Agr m 23 ki age m apny sare sources use kr rha ho pocket se heavy amounts give away kr rha ho Quran spread krny k leay to ap just share to kr saqty hn itna e krdyn

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Agr ap mujsy contact na kr sky too b ap jo b hn jaha bi hn waha Allah ka quran pheelay zada se zada with urdu translation jitni himat ha utna share kryn

..... **MY Family**

**ust Relax and focus! Exams are not difficult. Put in your
100% effort and trust in Allah.**

..... **AL-Quran**

**"And indeed, with hardship comes ease." (Quran 94:5)
Remember, I'm here to support you! Stay brave and strong!"**

May Allah bless you